

Subject Code	AF5355
Subject Title	Finance and Strategy
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Completion of six Year-1 compulsory subjects
Objectives	This capstone subject provides a platform for students to integrate financial and business analysis skills and apply them systematically in solving multifaceted case problems. It contributes to the achievement of the MoF Outcomes by enabling students to <u>formulate financial strategies and policies</u> (Outcome 3). The analysis of the case studies also allows students <u>to envision possible outcomes on financial and strategic recommendations, and to evaluate the performance in a relevant and effective way</u> (Outcome 3).
Intended Learning Outcomes	Upon successful completion of this course, students should be able to: - Explain the importance of how financial strategy impact business strategy formulation and implementation. - Apply appropriate finance theories and concepts and business analysis techniques in analysing complex case problems; - Identify the financial implications on various corporate strategies; and - Integrate finance and business theories and apply them to solve problems faced by management.
Subject Synopsis/ Indicative Syllabus	Financial Strategy in Context Linkage between corporate and financial strategy; corporate governance and financial strategy Financial Strategy and Corporate Growth Financial strategy for startups, growth, mature and decline phases of corporate life-cycle, Capital market cycles and corporate growth. Value-Based Management Tools for value-based management; project evaluation using value-based management tools; implementation issues. Financial Implications on Strategy Capital allocation and corporate strategy; capital structure and corporate strategy; Implications of financial market bubbles and crises on corporate strategy.
Teaching/Learning Methodology	Key concepts and issues will be introduced through lectures. Case discussions will be conducted extensively throughout this course to enable students to stimulate critical thinking and to integrate the concepts which they have learned in prior subjects and apply them to solve case problems.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Analyzes of case studies (discussion, presentation, and written reports)	70%	✓	✓	✓	✓		
	2. Class participation	30%	✓	✓	✓	✓		
	Total	100 %						
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Individual participation on case discussions requires students to demonstrate their ability to formulate finance theories and business knowledge (Outcome 3), to think critically and creatively, and to envision possible outcomes on financial and strategic recommendations, and to evaluate the performance in a relevant and effective way (Outcome 3). Individual written case assignment and group case write-up and presentation further reinforce these learning objectives. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>							
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars		39 Hrs.					
	Other student study effort:							
	▪ Individual case reading and analysis		68 Hrs.					
	▪ Group discussion		10 Hrs.					
	Total student study effort		117 Hrs.					
Reading List and References	<u>Textbook</u> Bruner, Eades and Schill, Case Studies in Finance: Managing for Corporate Value Creation, 8 th edition, McGraw Hill.							
	<u>References</u> Ross, Corporate Finance, 13 th edition, McGraw Hill.							
	Brealey, Myers and Allen, Principles of Corporate Finance, 14 th edition, McGraw Hill.							
	Topical articles from the recent financial press.							